Ch. 7.2 -7.3 HW

Principles of Microeconomics

October 8, 2025

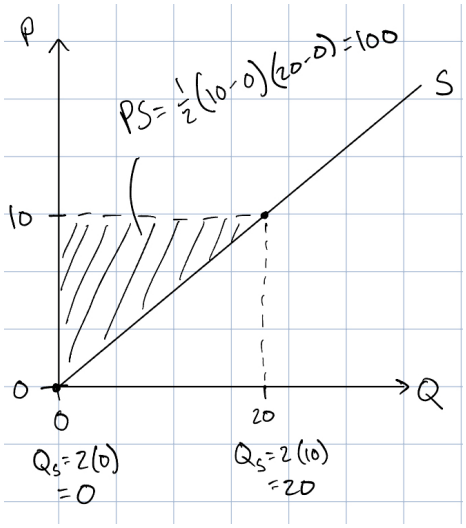
Quick Quiz

4. (c) –

$$\begin{aligned} PS_{Diego} &= 0 \text{ (because he doesn't take the job)} \\ PS_{Emi} &= 300 - 200 = 100 \\ PS_{Finn} &= 300 - 100 = 200 \\ PS_{Mkt} &= 0 + 100 + 200 = 300 \end{aligned}$$

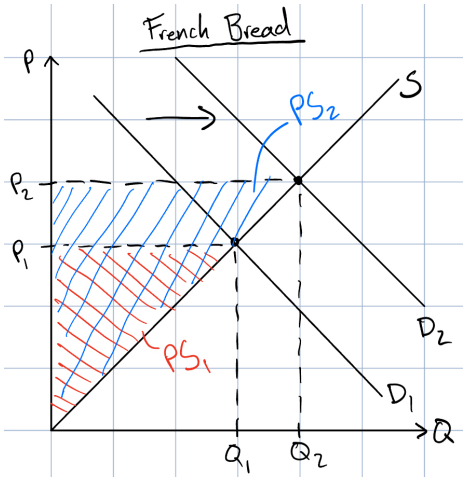
5. (b) – Gavin's PS rises by \$100 because $PS = P - Cost$ and P increased by 100. Hector's cost is higher than \$300 but lower than \$400 because he didn't work when the price was \$300 but he does when the price is \$400. That means his PS is 400 minus a number between 300 and 400, so his PS is between 0 and 100. Therefore, producer surplus increases 100 plus something between 0 and 100.

6. (c) –

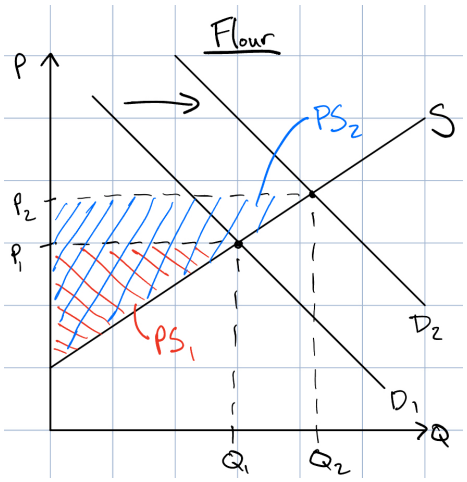


Problems & Applications

3. When demand for French bread rises, the price rises. As a result, producer surplus increases.



The quantity of french bread produced and sold increases, so there are more buyers of flour. That increases demand for flour which increases the price. As a result, producer surplus increases.

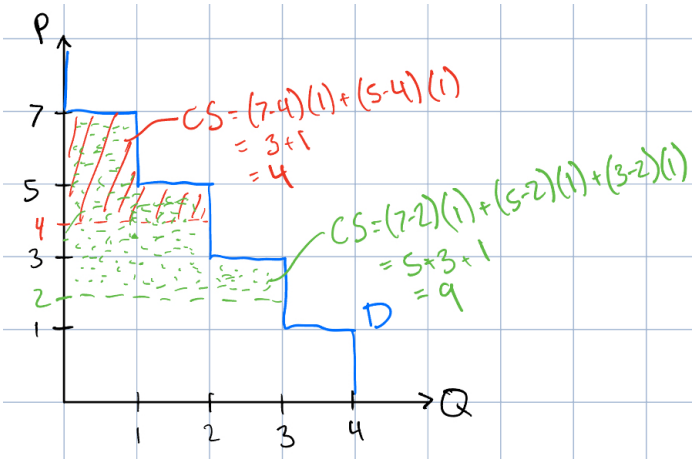


4. (a)

P	Q_D
More than \$7	0
\$5 to \$7	1
\$3 to \$5	2
\$1 to \$3	3
Less than \$1	4

(b) He buys 2 bottles of water. Consumer surplus is \$4.

(c) Quantity demanded increases to 3 bottles of water. Consumer surplus increases to \$9.



5. (a)

P	Q_S
Less than \$1	0
\$1 to \$3	1
\$3 to \$5	2
\$5 to \$7	3
More than \$7	4

(b) He produces 2 bottles of water. His producer surplus is \$4.

(c) Quantity supplied increases to 3 bottles of water. His producer surplus increases to \$9.

